Question 2: Suppose you make a plan to invest $70,000. You are presented with two alternatives. Which scenario would you rather have?

- **a.** Know that I'll only be repaid $60,000, for sure.
- **b.** Take a 50-50 gamble, knowing that I'll get back either $75,000 or $50,000.

Question 3: Choose one of these two outcomes:

- **a.** An assured gain of $475.
- **b.** A 25 percent chance of gaining $2,000 and a 75 percent chance of gaining nothing.

Question 4: Choose one of these two outcomes:

- **a.** An assured loss of $725.
- **b.** A 75 percent chance of losing $1,000 and a 25 percent chance of losing nothing.

Test Results Analysis

Question 1: People who are loss averse are most likely to select "a," even though "b" offers a larger potential return on the upside.

Question 2: Increased initial endowment aside, this is basically the same question as Question 1. Most people, however, would probably select "b," because most people tend to be loss averse. Loss-averse investors are willing to gamble and risk an even greater loss rather than to admit a loss ("a"). However, this isn't simply a matter of an unconditional penchant for gambling. Most investors (that is, loss-averse investors) prefer the assurance of breaking even over the opportunity to gain a profit in Question 1.

Question 3: The rational response is "b," but loss-averse investors are likely to opt for the assurance of a profit in "a."

Question 4: The rational response is "a." Loss-averse investors are more likely to select "b."

ADVICE

Get-even-itis. Beware: Holding losing stocks for too long is harmful to your investment health. One symptom of get-even-itis is that a client's decision making regarding some investments seems to be dependent on the original price paid for that investment. One effective remedy is a stop-loss rule. You may, for example, agree